Morgan Stanley | RESEARCH

IDEA

June 8, 2026 12:16 AM GMT

China Industrials | Asia Pacific

Trip Takeaways: Stronger, Broader Capex Boom

The trip strengthened our conviction in the super capex cycle, from AI hardware equipment to broad equipment and automation, and on upgrade potential for China's advanced equipment. We prefer Wuxi Lead, Han's Laser, Hengli Hydraulic, Sany, Hongfa, Leaderdrive, Neway Valve, and Bochu.

Key Takeaways

- The two segments most beyond expectations have been AI hardware equipment and the Apple supply chain. Battery and semi equipment are also seeing booming demand.
- Unlike prior ones, this AI-driven capex cycle combines massive scale with rapid technology iteration, driving continuous equipment upgrade demand.
- Most of the companies we met are expanding capacity, widely passing on strong demand to upstream mechanical and electrical products/equipment.
- The strong upgrade demand strengthens companies' abilities toward more advanced equipment, and also supports margin expansion.
- Construction machinery demand, especially overseas, is stronger than market expectations on strong infra construction and Chinese brands market share gains.

We met with industrial companies to explore overall demand and key themes:

- *Automation/robotics/general equipment companies Leaderdrive/Lens Tech/Leadshine/Xinje/OPT/Farsoon/Bozhon Precision/Topstar/One Robotics/Huayan Robotics/Zhaowei/Neway Valve*
- *AI equipment Han's Laser/Megmeet/GKG Precision/RoboTechnik/Unicomp*
- *Battery equipment Wuxi Lead/Hymson, solar equipment Autowell/Maxwell*
- *Construction machinery Hengli Hydraulic/Sany/Zoomlion*

On this trip, we believe companies were very optimistic on the growth outlook on the back of strong orders and optimistic expectation for future orders, **supported especially by fast new technology applications.** In general, this trip feedback is more positive than our trip in early March, which supported upcycle demand.

(see key highlights and detailed takeaways in the following sections)

MORGAN STANLEY ASIA LIMITED+

Sheng Zhong
Equity Analyst
Sheng.Zhong@morganstanley.com +852 2239-7821

Chelsea Wang
Equity Analyst
Jinlin.Wang@morganstanley.com +852 2239-1118

Carlos Chai
Research Associate
Carlos.Chai@morganstanley.com +852 3963-3180

CHINA INDUSTRIALS

Asia Pacific

Industry View **In-Line**

Key Highlights

Robust AI demand remains the strongest cross-segment tor message, with equipment suppliers broadly positive on 2026-27 growth. Domestic companies are benefitting from the global AI supply chain; despite different product offerings, all shared bullish outlooks on orders/revenue growth for 2026-27. We think they will benefit from three structural changes:

1) AI is driving product/equipment upgrades with higher ASP and margin, e.g., Han's Laser's ultrafast laser drilling equipment for AI servers, optical modules and TGV. Megmeet has noted potential opportunities in the Rubin power shelf, which carry higher value content and better margins. GKG Precision's solder paste equipment applied in AI servers has shown significantly higher ASP and gross margin (c.65%) than other downstream applications.

2) Incremental equipment needs from technology iteration and mass production: We observed optical module assembly automation (to replace labor) being addressed by GKG Precision and Bozhon, as well as testing equipment, including Unicomp's X-ray CT equipment for PCB back drilling inspection, Autowell's AOI equipment for optical modules, etc.

3) Domestic players will likely continue to gain market share amid rapid product upgrades and delivery, along with foreign peers' capacity bottlenecks.

Apple supply-chain feedback was stronger than expected, with 2026–27 innovation cycle supporting solid equipment demand: Apple-related opportunities extend beyond traditional 3C automation into 3D printing, vapor chambers, camera modules, and UTG glass, for the foldable phone this year and six new phone models next year. We came away with positive expectations from all equipment/components companies in the Apple supply chain.

Next-generation technology roadmaps such as SST, HVDC, CPO, glass substrate, solid-state battery were a recurring focus during the trip, increasingly moving from concept discussions to early product R&D and customer validation: For example, in AIDC power, Megmeet has begun HVDC side-car related testing; in optical modules, RoboTechnik has early CPO-related engagement with foreign customers, though it said broader mass production still looks more likely from 2027 onward. In advanced substrates, Lens, Han's Laser, and Hymson are all working on TGV/glass-substrate related processes, but the industry supply chain is still immature and pilot-line opportunities appear more likely next year. We understand that investor interest is high in technology upgrades, where we view competition as likely to ramp up when the new technology is in the mass production period. We think its still too early to identify clear winners at current stage.

Humanoids remain an important medium to long term theme, but the companies said a US leading company's near-term ramp appears slower than earlier expectations: Feedback from Hengli, Leaderdrive, Lens and Bozhon suggested that US leading company's progress is somewhat a bit delayed, with current volume still limited and unlikely to reach 1k units/week in 4Q, but volume expectations for 2027 are more positive. On the contrary, domestic humanoid outlook is more active, with component suppliers such as Leaderdrive, Zhaowei, Xinjie, Leadshine, and Huayan addressing high shipment expectations along with continuous capacity expansion. Leading component players should still stand out, especially for harmonic reducers.

General demand feedback on automation, construction machinery, and battery fundamentals was solid:

- **Automation/robotics:** Automation companies addressed strong order momentum with AI-related demand as key growth drivers, such as Leadshine (YTD revenue up 40%+ y-y) and Xinjie (May orders up 35%+ y-y).
- **Battery equipment:** Wuxi Lead indicated 2Q new orders growth are at least in line with, and potentially better than, 1Q's 60% y-y growth, with solid-state, SOFC and MLCC equipment as additional drivers; both Wuxi Lead and Hymson mentioned sequential new orders GPM recovery.
- **Construction machinery:** Sany Heavy expects 2Q revenue growth of ~20% y-y (incl. overseas 20%+ y-y, domestic ~15% y-y) and operating profit growth of >40% y-y. Zoomlion sees earnings growth accelerating in next few quarters and maintains ~Rmb6bn full-year net profit guidance.

Globalized capacity is becoming a key competitive differentiator, not just a tariff hedge: Several companies highlighted overseas capacity preparation and customer delivery overseas. Megmeet said it is preparing Thailand capacity for Nvidia power products; Hengli is preparing Mexico screw capacity for US leading company; Zhaowei said it has Thailand capacity largely ready for overseas humanoid customers; Topstar said it is preparing Vietnam capacity for Apple-related precision equipment; etc. **This suggests "China engineering + overseas delivery capability" as a key moat in the AI era, in our view.**

Detailed Takeaways

Han's Laser (002008.SZ, OW) - Positive 2026-27 outlook driven by PCB and 3C business

Management guided for Rmb26bn+ revenue in 2026: By segment, consumer electronics revenue is guided to roughly double from c. Rmb2bn in 2025 to c.Rmb4bn in 2026, PCB is seen at c.Rmb10bn+ based on capacity, new energy is expected to reach c.Rmb4bn, and semiconductor and general laser are assumed to be broadly flat y-y. Margins are in a recovery trajectory with a better product mix, operation leverage, and narrowing losses in new energy (which could be c. Rmb100mn this year vs. c.Rmb300mn in 2025). Han's Laser also has business expansion in liquid cooling (acquired company Attom had Rmb200-300mn revenue and c.10% NPM in 2026) and optical fiber, which might provide further earnings upside.

Management stays positive on PCB cycle in 2027 growth engine; ultrafast laser drilling is the highlight: Management believes the PCB capex cycle is still ongoing and remains optimistic on 2027 growth (ideal growth at 30%+ y-y), though clear guidance may wait until 2H. Key growth areas include ultrafast laser drilling for optical modules, AI servers, and the application to glass substrate and ceramic substrate is under testing currently. Ultrafast drilling has 20+ units new orders YTD; customers includes Victory Giant, Kinwong and Avary, with ASP is at Rmb5-7mn. Management said Victory Giant's revenue contribution could roughly double this year from c.Rmb1.5bn in 2025, reinforcing Han's leverage to leading AI PCB customers.

3D printing is the key upside option for 2027, with Apple entering a larger product-cycle window: Management expects one customer to place 3D printing orders in 2H26; shipments are to start in 4Q26, while most revenue recognition should fall into 2027. There will be several 3D printing equipment suppliers, but the customer plans to place the first batch of orders (half of total 4k demand) to Han's first. Beyond 3D printing, the customer's strong demand is said to be supported by vapor chamber laser welding/automation (~Rmb1bn in 2026), variable-aperture camera laser cutting, and new Apple projects typically carrying 40%+ gross margin. Han's is also the supplier to Meta (Rmb100-200mn in 2026). Management expects 2027 to be a major handset innovation year, with six phone models including an anniversary model, which should support continued consumer electronics business growth.

Hengli Hydraulic (601100.SS, OW) - dominant market share in humanoid screws; industrial screw capacity expansion on track

Management expects q-q revenue growth in 2Q despite a y-y growth slowdown on a high base: Full-year GPM is expected to be 40%+, while the 2Q FX loss should be smaller vs. 1Q.

Hengli's share position remains strong: Currently, the US leading company's humanoid volume is said to still appear limited, Hengli management thinks hundreds of units per week in 3Q26 and potentially c.2.5k units per week by 1Q27 is more realistic. Hengli's share in body screw products is indicated at 70%+. The capacity is being prepared mainly in Mexico, with year-end capacity targeting support for c.100k robot units. The screw ASP is at c.Rmb1k, while the value content for screw+motor could reach roughly Rmb10–15k per robot in longer term, with expected GPM at 25-30%. Beyond that US leading company, Hengli has already entered Xiaomi's, Xpeng's, and Li Auto's humanoid supply chains.

Industrial screws is becoming a credible second growth curve, with strong orders, capacity expansion and localization tailwinds: Hengli's industrial screw business has c.Rmb250mn backlog YTD. Current monthly capacity is c.4k units, and it aims to lift capacity to c.15k units per month by year-end. Management expects c.Rmb300–400mn revenue in 2026 to achieve break-even, and aims to double sales in 2027. Customer coverage is broad and the margin profile is attractive, with the long-term GPM target at c.40%.

Leaderdrive (688017.SS, OW) - robust shipments with continuous capacity expansion

Solid harmonic demand sustained with continuing capacity expansion: May monthly shipment reached c.50k units and capacity expansion continues , benchmarking Harmonic Drive's annual 2mn units next year. Leaderdrive supplies harmonic reducers and bearings to the US leading company. Beyond that, overseas opportunities are progressing, including Roboforce, which is preparing for mass production and setting up manufacturing in China, while Leaderdrive is also involved in humanoid/module-related projects with domestic humanoid customers.

Industrial demand looks stable, with solid 2Q GPM: Management noted most of this year's growth should still come from humanoid-related demand, while non-humanoid demand is relatively steady; 2Q gross margin should remain decent. Industrial screws remain in the trial/validation phase across major customers, with potential applications in port robotic arms, high-end equipment and battery assembly lines.

Wuxi Lead (300450.SZ, OW) - 2Q new orders sustained solid momentum; multiple new growth drivers

2Q new orders tracking at least in line with, and potentially better than, c.60% y-y growth seen in 1Q: Management indicated lithium battery demand remains robust, with large-scale tenders from EVE, CALB, and ESS demand continuing to exceed expectations. Management is increasingly focused on market-share gains as the core KPI: Wuxi Lead's domestic share is already c.37–38% and global share is c. 27%, vs. c.15% domestic share for Yinghe and c.10% for Hangke, while the longer-term target is to lift both domestic and overseas shares toward c.45%. Order margin also looks healthy, with new-order GPM benchmarked at c.40% domestically and c.45% overseas, and domestic orders accounting for c.60% of this year's mix.

Battery technology upgrade remains a key medium-term growth driver, especially solid-state and sodium-ion: Solid-state battery equipment is progressing quickly - Japanese and Korean customers are targeting high-end vehicle adoption in 2027, while CATL targets small-scale mass production around 2030. Management noted full-line equipment tenders could emerge by year-end, with equipment value around Rmb500mn/GWh, broadly similar across domestic and overseas customers. Sodium-ion is another near-term catalyst, as CATL is pushing commercialization this year, and Wuxi Lead expects its share in sodium-ion equipment to be higher than its existing 40–50% share at CATL. The demand mix also appears more balanced, with power battery and ESS contributing roughly 50/50 this year, while heavy trucks are emerging as an important incremental source of power battery demand.

New businesses are scaling faster than expected, led by SOFC, MLCC, and humanoid-related assembly equipment: In SOFC equipment, orders were below Rmb100mn in 2025 but are expected to reach c. Rmb500mn this year; management estimates SOFC capex at Rmb150–200mn/GW, with equipment accounting for 60–70% of total investment, and delivery cycles of around 1–1.5 years. MLCC is showing a similar ramp, with orders also expected to rise from below Rmb100mn last year to c. Rmb500mn this year, and management expects multiple-fold growth ahead. In humanoid robotics, the company has signed a strategic cooperation agreement with Beijing Humanoid Robot Innovation Center, initially covering humanoid components and future assembly-line equipment.

Sany Heavy (600031.SS, OW) - Positive growth outlook with global market share gain intact

Solid 2Q growth outlook: Management expects 2Q revenue to grow c.20% y-y, with overseas up >20% y-y and domestic up c.15% y-y. By region, Europe remains one of the strongest markets at >30% y-y; North America is expected to grow 20–30% y-y this year; South America and Africa should grow c.20% y-y; India and Russia will likely be flattish y-y; and the Middle East fell 10% y-y. Management also sounded constructive on profitability, expecting 2Q operating profit to grow at least 40% y-y, helped by stronger excavator growth (higher overseas excavator NPM of 20%+). On pricing, overseas pricing remains broadly stable and has trended upward over the past few years, while the domestic price-hike notice is more about reinforcing margin discipline; if execution is smooth, management expects domestic gross margin to at least remain stable this year. In 3Q, management thinks 20%+ y-y revenue growth is achievable.

Electrification is becoming a more visible medium-term driver, with faster-than-expected demand signals overseas and higher unit economics: Electrified equipment revenue was c.Rmb8.6bn in 2025, with around 90% from China; management expects this to increase to c.Rmb11–12bn this year, with key contribution from mixer trucks and dump trucks at c. Rmb7bn. Electric wheel load could reach Rmb2bn+ revenue and electric excavators could reach Rmb1bn+ revenue this year with rapid growth off low bases. Overseas demand is developing faster than previously expected, with 1Q inquiries increasing several times and Europe showing particularly strong interest in electric excavators. Importantly, electrified products carry ASPs around 30–40% higher than diesel models, with similar gross margins, implying higher per-unit profit.

Zoomlion (1157.HK, OW) - Overseas growth accelerated in May

Management expects earnings growth to accelerate in the next few quarters: Management indicated 2Q earnings should show improvement as the FX impact eases. Full-year revenue growth is expected at c.10–15% y-y, with profit still targeted toward c.Rmb6bn. Regional growth is relatively balanced, while Western Europe and South America are the key bright spots, with Western Europe up c.70% YoY in 1Q on infrastructure demand and South America is growing quickly from a low share base. Russia demand turned positive in Apr-May. Overall, overseas growth in May was stronger than Mar-Apr, and the Middle East decline is narrowing. Domestic demand continues to recover moderately.

Margin/pricing discipline and electrification remain the key structural positives. Management expects full-year GPM to remain broadly stable, though the mix could create some pressure as domestic small excavator volume ramps. Electric equipment now contributes 10–15% of total revenue and 30–35% of unit volume. Key products include electric aerial work platforms, hybrid mining trucks, and agricultural machinery. For mining machinery, Zoomlion generated c.Rmb3bn revenue and c.40% GPM in 2025, and management is positive on Southeast Asia, Central Asia, Africa, and South America markets.

Neway Valve (603699.SS, OW) - Near-term delivery pressure in Middle East; long-term growth intact

Middle East disruption pressuring 2Q results, but has potential demand upside from post-conflict reconstruction: Management noted current Middle East shipments are effectively paused, which could lead to a visible inventory build-up for 1H26 as products are completed but not yet delivered/revenue-recognized. That being said, the region remains a core demand source for LNG and upstream oil & gas valves, and reconstruction needs could bring incremental orders as early as 2H26, or more visibly in 2027-28, with early opportunities already emerging from Saudi Arabia and the UAE. Beyond the Middle East, management flagged possible North America order improvement from 2H26, continued LNG/storage demand in Europe, and China-led growth in nuclear power and coal chemical, suggesting demand is becoming more diversified by region and end-market.

Longer term, Neway's growth outlook remains supported by offshore/marine, nuclear, water treatment, and high-end valve upgrades, with capacity expansion providing room for scale-up. Offshore engineering was the largest 1Q new-order contributor at c.32% and mgmt sees scope for sustained double-digit growth in the future. Nuclear has a long two-year certification/delivery cycle but remains a steady structural growth area, while water treatment is targeted to grow from less than Rmb200mn revenue in 2025 to Rmb1bn over five years, covering industrial wastewater, desalination and data center liquid cooling. On capacity, by end-2027, total capacity could increase by Rmb2–3bn to c. Rmb12bn. Management's medium-term GPM target remains 37–40%.

Autowell (688516.SS, UW) - Semiconductor business to become second growth driver

Semiconductor segment new orders seen doubling y-y in 2026 to Rmb500mn: This includes Rmb300mn orders for power semi (vs. Rmb200mn in 2025), as well as Rmb200mn for optical modules AOI (Rmb50mn in 2025), with potential to double again next year as customer expansion accelerates (key customers include AAOI, Finisar). Management noted the order-to-revenue cycle is around 12–15 months, so this year's new orders should mainly support next year's revenue visibility. Management targets Rmb1bn revenue scale for its semiconductor business in the near term.

We see room for Autowell to expand both share and value content in optical modules: Current AOI equipment ASP for optical modules is Rmb1.0–1.3mn with GPM at 40-50%, and Autowell targets roughly two-thirds share based on the current customer capex plan. Competition is emerging from players such as TZTEK and Quick, but management believes Autowell is currently the only supplier with batch-scale delivery. Although AOI accounts for only c.2% of optical-module capex today, Autowell is developing additional automation equipment and sees potential to lift its addressable value content to customer toward c.10% of capex over time.

Maxwell (300751.SZ, UW) - Semiconductor business progress on track

Management expects Rmb6bn solar orders and Rmb3.5-4bn semi orders in 2026: Although solar was in a downcycle in 2024–25, management believes the darkest period has likely passed and industry competition is shifting toward differentiated technologies rather than pure price pressure. The semiconductor order target is Rmb3.5-4.0bn for the full year, including c.Rmb2bn from front-end, plus Rmb1.5-2bn packaging where Maxwell has entered mainstream packaging houses such as JCET and Tongfu. For North America-related orders, products are in production and appear not to be restricted under current rules, though final delivery visibility still depends on policy execution.

Lens Technology (300433.SZ, EW, covered by Derrick Yang) - multiple downstream drivers awaiting

Electronics remains the key near-term catalyst, with Apple and Meta both supporting higher content and margin mix: Lens Tech's downstream mix is still heavily consumer electronics, with mobile accounting for c.80% of revenue exposure, while management highlighted share-expansion opportunities at Apple as the product cycle enters a multi-year innovation window: foldable phone launch in 2H26, glass-shape changes next year, and more titanium-frame adoption across 2027 models, which should drive higher ASP and GPM. Meta smart glasses are also scaling, with rapid rising shipments and increasing value content (from structural parts last year to expand toe wireless-charging assembly this year).

Humanoid robotics and AI server liquid cooling add new growth optionality beyond the traditional electronics cycle: In robotics, Lens supplies domestic customers with joint-module/structural components, while overseas opportunities are mainly head modules and structural parts; for one customer, the head modules, structural parts in dexterous-hand body structural are under validation. In AI servers, Lens entered liquid cooling via the acquisition of Yuans Technology and is starting production this month. The company targets c.20k cabinets this year, with per-cabinet value ranging from c.US$10k-60k depending if cooling is included.

TGV and advanced materials provide longer-term upside, with early customer engagement already visible. Management noted TGV remains early as global capability is not yet mature, but potential customer orders could emerge in 2H26, with direct engagement from Samsung and Intel.

Megmeet (002851.SZ, not-covered) - the company is positive on market share potential in Rubin from 4Q26

AI power shelf remains the key upside driver, with Nvidia ecosystem progress on track: Megmeet was added to Nvidia's RVL around mid-2024 and has since moved from catch-up development on GB200 toward GB300 and Rubin. GB300 development was largely completed in 4Q25, with 1Q26 shipments already starting to a North American CSP across GB300/GB200 power shelf. Management emphasized that AIDC power supply is not a standardized product; Nvidia and CSPs continue to layer on customer-specific requirements, which favors suppliers with fast customization and engineering response.

Rubin is the more important share-gain window, with higher value content and margin profile. Unlike GB200/GB300, where Megmeet was roughly one product cycle behind Delta/Lite-On, the company appears to have caught up in Rubin: the development started before the chip was launched and the 18.6kW Rubin product has already been sampled. Management is more constructive on share opportunity once Rubin ramps from 4Q26. It added that Rubin also carries meaningfully higher ASP/value per shelf and better gross margin than GB200/GB300, making it the most important catalyst for both revenue acceleration and mix improvement.

HVDC/side-car is a medium-term transition; SST remains longer-dated: On HVDC, Megmeet started testing with domestic CSPs in the beginning of the year, but management does not expect an immediate architecture switch because the industry still lacks mature full-system delivery capability. It said the likely path will be gradual: current GB200/GB300/Rubin products remain shelf-based, while side-car products are already emerging but still largely install power shelves inside the cabinet. Over time, Megmeet believes HVDC/side-car could move it from a module supplier toward a system-level supplier. SST is in R&D, but management sees it as further out given the technical challenges of adapting SST to AIDC loads and extreme current conditions.

(Given Megmeent is engaged in AIDC power, its commentary on AIDC industry demand outlook is useful in relation to our covered company Envicool).

GKG Precision Machine (301338.SZ, not-covered) - the company is positive on the 2026-27 earnings outlook with extensive capacity expansion

Management is constructive on the 2026–27 growth trajectory, with both top-line momentum and margin expansion visibility: Management indicated it expects high double-digit y-y revenue growth in 2026, while 2027 could be even stronger if the industry trend continues and new capacity is released. 1Q net margin was already above 20% and is expected to improve further, supported by operating leverage and mix upgrades. Capacity is the main near-term bottleneck, but the new facility expected in 2H26 is 3–4x larger than the current site, which it expects to support the company's 2026–27 growth runway. The core solder paste equipment business has global share of around 30%, and 50–60% in consumer electronics/server segments, while the server application offers significantly higher ASP and gross margin (c. 65%) than lower-end equipment.

GKG said optical module automation lines are becoming a key incremental growth driver, with strong order visibility and attractive economics: GKG focuses mainly on back-end assembly automation for 1.6T optical modules, replacing manual labor across around 16 process steps. Management cited 5 lines shipped last year, 15–20 lines currently in backlog, and prepared capacity for around 30 lines this year. Each line has value of roughly Rmb10mn, gross margin above 50%, and a 4–5 month delivery cycle. Economics appear compelling for customers: one automated line can replace over 80 workers, implying a payback period of less than one year. Management also expects a large wave of 800G/1.6T orders to emerge this and next quarter, and believes GKG has a relatively high share in this emerging category. GKG also shipped 7 server automation lines last year at ASP of around Rmb1.2mn per line.

(Given GKG is engaged in electronics equipment and optical modules/ AI server automation production lines; its commentary on industry demand outlook is useful in relation to our covered automation segment).

RoboTechnik (300757.SZ, not-covered) - comprehensive product offering in optical modules and CPO

RoboTechnik's core differentiation is its end-to-end optical-module equipment platform after fully consolidating ficonTEC in 2025, spanning both "tester + assembler": Product coverage extends from single-/double-side wafer testing and die-to-wafer solutions, to die testers, module-level assembly equipment such as lens/fiber coupling, die bonding, stacking and fiber preparation, and system-level final tests for pluggable optical modules. Management said near-term orders remain mainly assembler-led, especially coupling equipment for pluggable modules.

CPO said to provide the bigger medium-term ASP and share-upside story, with low competition and stronger tester value content: Management said Broadcom, Nvidia and Samsung are already ficonTEC customers at the design/NPI stage, though CPO is not yet in mass production and the major ramp looks more likely in 2027. For pricing, pluggable coupling equipment is around EUR300–400k per unit, CPO coupling tools should be higher, single-side wafer testers are in hundreds of thousands of EUR, double-side testers exceed EUR1mn, and die testers are around EUR1.5–2.0mn. Management addressed their key advantages in motion control, machine vision, process control/software, "from lab to fab" customer co-development, and scalable capacity.

(Given RoboTechnik is engaged in optical modules equipment, its commentary on industry demand outlook is useful in relation to our covered automation segment).

Bozhon Precision (688097.SS, not-covered) - the company is positive on the order outlook for 2026–27

2026 total new orders guided at c.Rmb11.5–12.0bn, and management expects solid growth momentum to continue next year: By segment, 3C orders are expected to reach c.Rmb5.0bn this year, up 20–30% y-y, supported by foldable devices and a stronger Apple product cycle into 2027, including new iPhone models and glasses-related opportunities. New energy orders are also expected at c.Rmb5.0bn this year, up 20–30% y-y, with CATL contributing c.95% and battery-swap stations remaining the largest driver. Longer term, Bozhon targets c.Rmb50bn revenue by 2030, with each of four key segments - consumer electronics, new energy, auto and semiconductor - reaching c.Rmb8–9bn scale.

Optical module equipment is becoming a more visible growth driver, with 2026 orders expected at c.Rmb500–600mn and an attractive margin profile: Management expects around c.Rmb200mn orders each from eutectic bonder machines and coupling machines. Product ASPs are meaningful: eutectic bonding machines are around Rmb2mn, coupling machines are around Rmb0.6–1.0mn+ per unit, and 800G automation lines are several million Rmb per line. Management views GPM as attractive at c.50% for eutectic bonding, c.50–60% for coupling machines, and c.30–40% for automation lines. On technology progress, 1.6T eutectic bonding machine have started small-batch shipments and automation lines are mainly for 800G, while 3.2T and CPO remain under R&D. AI server automation is another emerging upside, with a c.Rmb100mn Nvidia-related server automation line secured in March for Foxconn Vietnam; management expects several hundred million Rmb of orders this year, with larger potential next year.

(Given Bozhon is engaged in automation equipment and optical modules equipment, its commentary on industry demand outlook is useful in relation to our covered Han's Laser and automation segment).

Leadshine (002979.SZ, Not-covered) - solid growth seen in both automation and humanoid components

Solid YTD automation orders demand, with growth momentum tracking ahead of earlier expectations: Management indicated 1Q revenue grew c.34% y-y and Jan-Apr growth accelerated to 40%+, with the current trend sustained and slightly better than 1Q. Importantly, it said growth has not relied on price increases, but is driven by improved product competitiveness, distributor expansion and breakthroughs with key accounts. Downstream demand is said to be strongest in “new productive force” areas, including new energy, semiconductor, PCB and AI compute-related applications.

Humanoid robotics seen offering meaningful medium-term optionality, with fast shipment scaling: Leadshine’s humanoid portfolio covers frameless torque motors, coreless motors, servo drives, joint module solutions, and dexterous hands. Frameless torque motor shipments increased from c.10k units in 2024 to c.120k units in 2025, with 2026 planned shipments targeting the million-unit level with estimated share of c. 30%. Dexterous hand shipments were c.1k units in 2025, with a 2026 plan of 10-30k units and ASP of roughly Rmb10-20k. Management said the joint modules could scale from tens of thousands of units last year to several hundred thousand units this year. Profitability is still mixed: frameless motors and joint modules are around break-even, while dexterous hands remain loss-making.

(Given Leadshine is engaged in FA and humanoid components, its commentary on industry demand outlook is useful in relation to our covered automation segment).

Wuxi Xinje (603416,SS, Not-covered) - order momentum said to remain positive

Order momentum supports management’s confidence in achieving full-year growth targets. May orders grew 35%+ y-y; by segment, servo was 60–70% y-y in 5M26, while PLC grew 10-20% y-y. The company said demand recovery is broadening across traditional manufacturing such as textile, packaging and food & beverage, while consumer electronics, smart logistics, high-end equipment, AI/semiconductor, machine tools, engineering machinery, lithium battery, ESS and wind power remain key growth verticals; property-related segments such as furniture and building materials are still weak. Management targets c.30% revenue growth to ~Rmb2.6bn, with capacity expansion also supporting the medium-term outlook. Humanoid frameless motor demand is another incremental option, with capacity planned at c.2mn sets this year and 3mn sets next year, with ASP at roughly Rmb60–90.

(Given Xinje is engaged in FA and humanoid components, its commentary on industry demand outlook is useful in relation to our covered automation segment).

OPT Machine Vision (688686.SS, not-covered) - Apple seen as the most important 2026–27 upside driver

Management maintains guidance of c.25% y-y revenue growth for 2026: It said profit growth may not outpace revenue in the near term given continued R&D and business expansion, but the quality of growth appears to be improving. Although 2026 is seen as a relatively small year for 3C in 2026, management sounded more constructive on 2027, reflecting potential product-cycle changes including glass and camera module upgrades.

Apple said to remain the most important 2026–27 upside driver, with multiple new project beyond traditional machine vision: Management said OPT is starting to replace foreign vendors such as Keyence/Cognex in Apple assembly lines, and management sees a multi-year opportunity to localize as Apple pushes cost reductions and software standardization. 3D printing is an emerging opportunity; management said 2026 is mainly prototype/technical validation, with potential volume from 4Q26 or early 2027. The machine vision value content is c. 10% of the 3D equipment value, and the company is now working closely with Han's Laser. Apple-led AI defect inspection already contributed tens of millions of revenue in 2025, with OPT providing hardware while Apple provides algorithms.

(Given OPT is engaged in machine vision, its commentary on industry demand outlook is useful in relation to our covered automation segment).

Hymson (688559.SS, not-covered) - high 2026–27 earnings visibility seen supported by strong backlog and improving battery equipment profitability

Management guided for >30% y-y new orders growth in 2026: It indicated new orders rose from c.Rmb4.9bn in 2024 to c.Rmb9.5bn in 2025, while 1Q26 new orders were close to Rmb5.0bn and current backlog reached c.Rmb16bn, of which around 80% is lithium battery, 10% 3C and the remaining 10% other businesses. Battery demand has continued to recover since 2H25, with domestic orders now the main contributor, and new-order gross margin has improved meaningfully from c.30–35% in 2H25 to c.35–40% YTD, supporting a more positive earnings outlook.

Battery remains the core revenue anchor, while Apple supply chain and 3D printing provide visible incremental growth: In lithium battery, management highlighted continued strength in major customers such as CALB, overseas delivery cycles of 12–18 months, and exposure to next-generation technologies including sodium-ion and solid-state batteries; solid-state could roughly double equipment value longer term. In the Apple supply chain, upcoming opportunities addressed include small steel shell batteries next year, vapor chamber laser welding, 3D printing (management expects potential Rmb1bn+ order scale from 2027 if the company successfully enters the supply chain).

TGV/glass substrate and AI supply chain are the key optionality businesses, with high margin and accelerating customer engagement: For TGV, management believes it can cover around 80% of the roughly 40 potential glass substrate customers, with pilot-line opportunities next year and mass production potentially starting in 2H27; GPM is seen higher at above 50%. In the AI compute supply chain, Hymson expects c.Rmb300–400mnrevenue this year, potentially doubling next year.

(Given Hymson is engaged in laser equipment, especially applied in battery industry, its commentary on industry demand outlook is useful in relation to our covered Wuxi Lead and automation segment).

Topstar (300607.SZ, not-covered) - seen well positioned for 2026–27 growth from both robots and CNC machine tools

Robotics and automation said likely to remain the key growth engine: For robots, 2025 shipments reached c.12k units and management targets 30–50% y-y growth this year, with SCARA and six-axis robots growing faster at c.50–60% y-y. For humanoids, the company has already shipped 10+ units, and targets c.100 units in 2026 and c.1k units in 2027. For automation production lines, Apple cover glass related demand remains robust, and Topstar is the top supplier to Biel.

CNC machine tools seen benefiting from humanoid and potential Apple equipment demand: CNC equipment revenue was c.Rmb300mn+ in 2025, and management expects it to reach c.Rmb400mn in 2026; it is confident in 20–30% annual growth over the next few years. Demand appears to be shifting from traditional aerospace localization toward new industries such as humanoid robot structural parts, drones and low-altitude aircraft; humanoid robotics already accounts for c.30–40% of its CNC machine tool downstream demand. Management said Apple could become an additional upside driver, as Topstar is preparing capacity for precision engraving, grinding and polishing equipment in both China and Vietnam; order confirmation is said to be more likely toward year-end.

(Given Topstar is engaged in automation/robotics/CNC machine tool, its commentary on industry demand outlook is useful in relation to our covered automation segment).

Farsoon Technology (688433, SS, not-covered) - growth outlook said to be positive with capacity expansion

Demand outlook appears increasingly positive, with capacity expansion for a potential step-up in 3C demand in 2027 and broader industrial 3D-printing penetration: Current plant area is c.140k sqm, with an additional c.200k sqm capacity plan underway, and management highlighted that the next growth phase could be materially larger than the past decade when the company sold c.1,600 units cumulatively; future annual output could potentially approach this scale if large consumer-electronics orders materialize.

For the longer term, management said the growth story extends beyond electronics - the aerospace/commercial space is already cost-effective for 3D printing, while auto parts, liquid-cooling microchannels and humanoid/embodied-intelligence applications could become scalable markets. Farsoon said its key advantages are specialization/IP, full coverage across metal and polymer systems, leadership in polymer materials, globalization, and an ecosystem establishment; ultimately, management believes customers prioritize yield, reliability and quality over equipment price alone.

(Given Farsoon is engaged in 3D printing equipment, its commentary on industry demand outlook is useful in relation to our covered company Han's Laser).

Unicomp Technology (688531, SS, not-covered) - PCB equipment testing

seen opening growth upside

PCB testing order visibility seen strengthening, with back-drill inspection emerging as the key 2026–27 upside driver: Management said Victory Giant has indicated initial order demand of c.500 units, while industry back-drill inspection demand could reach c.2k units, implying a potential ~1.5k units supply gap given Omron capacity of only c.500 units. Unicomp said its ASP is favorable at c.Rmb1-2mn vs. Omron's c.Rmb3mn, supporting share-gain potential despite likely customer price negotiations. Delivery lead time is around 2–3 months. The company expects its total capacity to improve meaningfully as the new plant ramps, with year-end capacity potentially doubling vs. last year's c.3k-unit full-run level. For 2026, management expects 40%+ y-y revenue growth and 15%+ y-y in 2027 (excl. back-drill testing).

(Given Unicomp is engaged in CT equipment, its commentary on industry demand outlook is useful in relation to our covered company iRay Tech).

Shenzhen Zhaowei (003021.SZ, not-covered) - humanoid business revenue seen at least doubling in 2026

2026 growth outlook said to remain positive, supported by steady auto growth: Auto still contributes 60%+ of revenue, and management expects it to grow double digits this year despite single-digit price pressure, helped by higher vehicle content and new products across lighting, chassis/braking, cockpit and body actuators. Consumer/home demand was soft in 1Q due to price negotiations, but shipments normalized in 2Q; management said AI edge-device opportunities such as smartphone cooling fans could provide incremental upside.

Humanoid business in both overseas and domestic customers seen progressing toward volume ramp: 2025 humanoid revenue was c.Rmb20mn and management said it should at least double in 2026, with a bullish case of c.Rmb100mn. Despite the company's US client's mass production has not fully started, but it added that coreless motor validation is progressing and Thailand capacity is largely ready, with batch supply possible in 2H26 with per-robot value at c.Rmb10–15k. It noted that domestically, customers such as Galaxea and X Square are preparing for volume, supporting potential 10k+ dexterous-hand shipments this year. Current motor + reducer pricing is around Rmb1k, and the company sees cost-down potential as yield and scale improve.

(Given Zhaowei is engaged in humanoid components and dexterous hands, its commentary on industry demand outlook and supply landscape is useful in relation to our covered humanoid segment).

Huayan Robotics (1021.HK, not-covered) - positive 2026–27 growth seen across robots, motion control components and precision motion platforms

Management expects revenue of c.Rmb600mn this year and c.Rmb1.1bn next year, with potential 50–60%+ annual growth over the next three years: Net margin is expected at c.8% this year and could rise to 15–18% over time as scale improves and sales expense ratio declines. Robot segment could contribute around two-thirds of revenue this year, split roughly 50/50 between domestic and overseas markets; motion control components are expected to double and reach one-third of revenue this year, rising toward 40% contribution in 2027. It added that precision motion platforms should grow from c.Rmb100mn this year to Rmb200mn+ next year, supported by gene sequencing, semiconductor inspection and optical communication.

Humanoid business is supported by broad domestic customer coverage and in-house joint/motor capability: Huayan has entered most major domestic humanoid customers including Noetix, Engine AI, X Square, AI² Robotics and Galbot. Humanoid-related revenue is expected to approach Rmb100mn this year and reach Rmb400–500mn next year.

(Given Huayan is engaged in cobot and humanoid components, its commentary on industry demand outlook and supply landscape is useful in relation to our covered automation and humanoid segments).

OneRobotics (6600.HK, not-covered) - Comprehensive product offerings

Management guided for 65%+ y-y revenue growth in 2026, a 3-year CAGR of 48%+, and a 2028 revenue target of c.Rmb3bn: It sees growth driven by expanding overseas demand, with North America expected to accelerate and Germany potentially doubling this year. Acemate tennis robot could contribute c.Rmb100mn revenue this year, and Kata with ASP of Rmb4–5k is seeing solid growth in Japan, it noted. For humanoids, the company said its differentiation lies in 100% real-machine data training, self-developed components and joint design, and a low-cost hardware platform: the gripper-equipped robot sells at c.US$10k with cost of c.US$3k. It also targets household robots for end-consumer sales within three years.

(Given OneRobotics is engaged in humanoids, its commentary on industry demand outlook is useful in relation to our covered humanoid segment).

Disclosure Section

The information and opinions in Morgan Stanley Research were prepared or are disseminated by Morgan Stanley Asia Limited (which accepts the responsibility for its contents) and/or Morgan Stanley Asia (Singapore) Pte. (Registration number 199206298Z) and/or Morgan Stanley Asia (Singapore) Securities Pte Ltd (Registration number 200008434H), regulated by the Monetary Authority of Singapore (which accepts legal responsibility for its contents and should be contacted with respect to any matters arising from, or in connection with, Morgan Stanley Research), and/or Morgan Stanley Taiwan Limited and/or Morgan Stanley & Co International plc, Seoul Branch, and/or Morgan Stanley Australia Limited (A.B.N. 67 003 734 576, holder of Australian financial services license No. 233742, which accepts responsibility for its contents), and/or Morgan Stanley Wealth Management Australia Pty Ltd (A.B.N. 19 009 145 555, holder of Australian financial services license No. 240813, which accepts responsibility for its contents), and/or Morgan Stanley India Company Private Limited having Corporate Identification No (CIN) U22990MH1998PTC115305, regulated by the Securities and Exchange Board of India ("SEBI") and holder of licenses as a Research Analyst (SEBI Registration No. INH000001105); Stock Broker (SEBI Stock Broker Registration No. INZ000244438), Merchant Banker (SEBI Registration No. INM000011203), and depository participant with National Securities Depository Limited (SEBI Registration No. IN-DP-NSDL-567-2021) having registered office at Altimus, Level 39 & 40, Pandurang Budhkar Marg, Worli, Mumbai 400018, India; Telephone no. +91-22-61181000; Compliance Officer Details: Mr. Tejarshi Hardas, Tel. No.: +91-22-61181000 or Email: tejarshi.hardas@morganstanley.com; Grievance officer details: Mr. Tejarshi Hardas, Tel. No.: +91-22-61181000 or Email: msic-compliance@morganstanley.com which accepts the responsibility for its contents and should be contacted with respect to any matters arising from, or in connection with, Morgan Stanley Research, and their affiliates (collectively, "Morgan Stanley"). Morgan Stanley India Company Private Limited (MSICPL) may use AI tools in providing research services. All recommendations contained herein are made by the duly qualified research analysts.

For important disclosures, stock price charts and equity rating histories regarding companies that are the subject of this report, please see the Morgan Stanley Research Disclosure Website at www.morganstanley.com/eqr/disclosures/webapp/generalresearch, or contact your investment representative or Morgan Stanley Research at 1585 Broadway, (Attention: Research Management), New York, NY, 10036 USA.

For valuation methodology and risks associated with any recommendation, rating or price target referenced in this research report, please contact the Client Support Team as follows: US/Canada +1 800 303-2495; Hong Kong +852 2848-5999; Latin America +1 718 754-5444 (U.S.); London +44 (0)20-7425-8169; Singapore +65 6834-6860; Sydney +61 (0)2-9770-1505; Tokyo +81 (0)3-6836-9000. Alternatively you may contact your investment representative or Morgan Stanley Research at 1585 Broadway, (Attention: Research Management), New York, NY 10036 USA.

Analyst Certification

The following analysts hereby certify that their views about the companies and their securities discussed in this report are accurately expressed and that they have not received and will not receive direct or indirect compensation in exchange for expressing specific recommendations or views in this report: Carlos Chai; Chelsea Wang; Sheng Zhong.

.

Global Research Conflict Management Policy

Morgan Stanley Research has been published in accordance with our conflict management policy, which is available at www.morganstanley.com/institutional/research/conflictpolicies. A Portuguese version of the policy can be found at www.morganstanley.com.br

Important Regulatory Disclosures on Subject Companies

As of April 30, 2026, Morgan Stanley beneficially owned 1% or more of a class of common equity securities of the following companies covered in Morgan Stanley Research: Beijing Geekplus Technology Co., Ltd., China Railway Group, DR Laser, Sany Heavy Industry Co., Ltd., Shenzhen Envicool Technology Co Ltd, Shenzhen SC New Energy Technology Corp, Suzhou Maxwell Technologies Co Ltd, WeiChai Power, Wuxi Autowell Technology Co Ltd, Wuxi Lead Intelligent, Zhejiang Dingli Machinery Co Ltd., Zhejiang Shuanghuan Driveline Co. Ltd., Zoomlion Heavy Industry.

Within the last 12 months, Morgan Stanley managed or co-managed a public offering (or 144A offering) of securities of Beijing Geekplus Technology Co., Ltd., Zoomlion Heavy Industry.

Within the last 12 months, Morgan Stanley has received compensation for investment banking services from Shenzhen Inovance Technology, Zoomlion Heavy Industry.

In the next 3 months, Morgan Stanley expects to receive or intends to seek compensation for investment banking services from Beijing Geekplus Technology Co., Ltd., China State Construction Engineering, Sany Heavy Industry Co., Ltd., Shenzhen Inovance Technology, Wuxi Lead Intelligent, Zhejiang Hangke Technology, Zoomlion Heavy Industry.

Within the last 12 months, Morgan Stanley has received compensation for products and services other than investment banking services from China State Construction Engineering, CRRC Corp Ltd, Haitian International Holdings Limited, Sinotruk (Hong Kong) Limited.

Within the last 12 months, Morgan Stanley has provided or is providing investment banking services to, or has an investment banking client relationship with, the following company: Beijing Geekplus Technology Co., Ltd., China State Construction Engineering, Sany Heavy Industry Co., Ltd., Shenzhen Inovance Technology, Wuxi Lead Intelligent, Zhejiang Hangke Technology, Zoomlion Heavy Industry.

Within the last 12 months, Morgan Stanley has either provided or is providing non-investment banking, securities-related services to and/or in the past has entered into an agreement to provide services or has a client relationship with the following company: Beijing Geekplus Technology Co., Ltd., China State Construction Engineering, CRRC Corp Ltd, Haitian International Holdings Limited, Sinotruk (Hong Kong) Limited.

An employee, director or consultant of Morgan Stanley is a director of Beijing Geekplus Technology Co., Ltd.. This person is not a research analyst or a member of a research analyst's household.

The equity research analysts or strategists principally responsible for the preparation of Morgan Stanley Research have received compensation based upon various factors, including quality of research, investor client feedback, stock picking, competitive factors, firm revenues and overall investment banking revenues. Equity Research analysts' or strategists' compensation is not linked to investment banking or capital markets transactions performed by Morgan Stanley or the profitability or revenues of particular trading desks.

Morgan Stanley and its affiliates do business that relates to companies/instruments covered in Morgan Stanley Research, including market making, providing liquidity, fund management, commercial banking, extension of credit, investment services and investment banking. Morgan Stanley sells to and buys from customers the securities/instruments of companies covered in Morgan Stanley Research on a principal basis. Morgan Stanley may have a position in the debt of the Company or instruments discussed in this report. Morgan Stanley trades or may trade as principal in the debt securities (or in related derivatives) that are the subject of the debt research report.

Certain disclosures listed above are also for compliance with applicable regulations in non-US jurisdictions.

STOCK RATINGS

Morgan Stanley uses a relative rating system using terms such as Overweight, Equal-weight, Not-Rated or Underweight (see definitions below). Morgan Stanley does not assign ratings of Buy, Hold or Sell to the stocks we cover. Overweight, Equal-weight, Not-Rated and Underweight are not the equivalent of buy, hold and sell. Investors should carefully read the definitions of all ratings used in Morgan Stanley Research. In addition, since Morgan Stanley Research contains more complete information concerning the analyst's views, investors should carefully read Morgan Stanley Research, in its entirety, and not infer the contents from the rating alone. In any case, ratings (or research) should not be used or relied upon as investment advice. An investor's decision to buy or sell a stock should depend on individual circumstances (such as the investor's existing holdings) and other considerations.

Global Stock Ratings Distribution

(as of May 31, 2026)

The Stock Ratings described below apply to Morgan Stanley's Fundamental Equity Research and do not apply to Debt Research produced by the Firm.

For disclosure purposes only (in accordance with FINRA requirements), we include the category headings of Buy, Hold, and Sell alongside our ratings of Overweight, Equal-weight, Not-Rated and Underweight. Morgan Stanley does not assign ratings of Buy, Hold or Sell to the stocks we cover. Overweight, Equal-weight, Not-Rated and Underweight are not the equivalent of buy, hold, and sell but represent recommended relative weightings (see definitions below). To satisfy regulatory requirements, we correspond Overweight, our most positive stock rating, with a buy recommendation; we correspond Equal-weight and Not-Rated to hold and Underweight to sell recommendations, respectively.

	Coverage Universe		Investment Banking Clients (IBC)			Other Material Investment Services Clients (MISC)	
Stock Rating Category	Count	% of Total	Count	% of Total IBC	% of Rating Category	Count	% of Total Other MISC
Overweight/Buy	1542	42%	465	51%	30%	707	43%
Equal-weight/Hold	1571	43%	369	40%	23%	723	44%
Not-Rated/Hold	3	0%	0	0%	0%	1	0%
Underweight/Sell	551	15%	86	9%	16%	201	12%
Total	3,667		920			1632	

Data include common stock and ADRs currently assigned ratings. Investment Banking Clients are companies from whom Morgan Stanley received investment banking compensation in the last 12 months. Due to rounding off of decimals, the percentages provided in the "% of total" column may not add up to exactly 100 percent.

Analyst Stock Ratings

Overweight (O). The stock's total return is expected to exceed the average total return of the analyst's industry (or industry team's) coverage universe, on a risk-adjusted basis, over the next 12-18 months.

Equal-weight (E). The stock's total return is expected to be in line with the average total return of the analyst's industry (or industry team's) coverage universe, on a risk-adjusted basis, over the next 12-18 months.

Not-Rated (NR). Currently the analyst does not have adequate conviction about the stock's total return relative to the average total return of the analyst's industry (or industry team's) coverage universe, on a risk-adjusted basis, over the next 12-18 months.

Underweight (U). The stock's total return is expected to be below the average total return of the analyst's industry (or industry team's) coverage universe, on a risk-adjusted basis, over the next 12-18 months.

Unless otherwise specified, the time frame for price targets included in Morgan Stanley Research is 12 to 18 months.

Analyst Industry Views

Attractive (A): The analyst expects the performance of his or her industry coverage universe over the next 12-18 months to be attractive vs. the relevant broad market benchmark, as indicated below.

In-Line (I): The analyst expects the performance of his or her industry coverage universe over the next 12-18 months to be in line with the relevant broad market benchmark, as indicated below.

Cautious (C): The analyst views the performance of his or her industry coverage universe over the next 12-18 months with caution vs. the relevant broad market benchmark, as indicated below.

Benchmarks for each region are as follows: North America - S&P 500; Latin America - relevant MSCI country index or MSCI Latin America Index; Europe - MSCI Europe; Japan - TOPIX; Asia - relevant MSCI country index or MSCI sub-regional index or MSCI AC Asia Pacific ex Japan Index.

Important Disclosures for Morgan Stanley Smith Barney LLC Customers

Important disclosures regarding any material conflict of interest that can reasonably be expected to have influenced Morgan Stanley Smith Barney LLC's choice of a third-party research provider or the subject company of a third-party research report, are available on the Morgan Stanley Wealth Management disclosure website at www.morganstanley.com/online/researchdisclosures.

For Morgan Stanley specific disclosures, you may refer to https://www.morganstanley.com/eqr/disclosures/webapp/generalresearch.

Each Morgan Stanley research report is reviewed and approved on behalf of Morgan Stanley Smith Barney LLC. This review and approval is conducted by the same person who reviews the research report on behalf of Morgan Stanley. This could create a conflict of interest.

Other Important Disclosures

Morgan Stanley Research policy is to update research reports as and when the Research Analyst and Research Management deem appropriate, based on developments with the issuer, the sector, or the market that may have a material impact on the research views or opinions stated therein. In addition, certain Research publications are intended to be updated on a regular periodic basis (weekly/monthly/quarterly/annual) and will ordinarily be updated with that frequency, unless the Research Analyst and Research Management determine that a different publication schedule is appropriate based on current conditions.

Morgan Stanley is not acting as a municipal advisor and the opinions or views contained herein are not intended to be, and do not constitute, advice within the meaning of Section 975 of the Dodd-Frank Wall Street Reform and Consumer Protection Act.

Morgan Stanley produces an equity research product called a "Tactical Idea." Views contained in a "Tactical Idea" on a particular stock may be contrary to the recommendations or views expressed in research on the same stock. This may be the result of differing time horizons, methodologies, market events, or other factors. For all research available on a particular stock, please contact your sales representative or go to Matrix at http://www.morganstanley.com/matrix.

Morgan Stanley Research is provided to our clients through our proprietary research portal on Matrix and also distributed electronically by Morgan Stanley to clients. Certain, but not all, Morgan Stanley Research products are also made available to clients through third-party vendors or redistributed to clients through alternate electronic means as a convenience. For access to all available Morgan Stanley Research, please contact your sales representative or go to Matrix at http://www.morganstanley.com/matrix.

Any access and/or use of Morgan Stanley Research is subject to Morgan Stanley's Terms of Use (http://www.morganstanley.com/terms.html). By accessing and/or using Morgan Stanley Research, you are indicating that you have read and agree to be bound by our Terms of Use (http://www.morganstanley.com/terms.html). In addition you consent to Morgan Stanley processing your personal data and using cookies in accordance with our Privacy Policy and our Global Cookies Policy (http://www.morganstanley.com/privacy_pledge.html), including for the purposes of setting your preferences and to collect readership data so that we can deliver better and more personalized service and products to you. To find out more information about how Morgan Stanley processes personal data, how we use cookies and how to reject cookies see our Privacy Policy and our Global Cookies Policy (http://www.morganstanley.com/privacy_pledge.html). Please use the provided link to review the Terms and Conditions and Most Important Terms and Conditions for Morgan Stanley India Company Private Limited (https://www.morganstanley.com/assets/pdfs/about-us-global-offices/india/Terms_and_conditions.pdf) and the following link to review the audit report (https://ny.matrix.ms.com/eqr/research/webapp/researchdocs/MSICPL_Morgan_Stanley_Research_Audit_Report.pdf).

If you do not agree to our Terms of Use and/or if you do not wish to provide your consent to Morgan Stanley processing your personal data or using cookies please do not access our research.

Morgan Stanley Research does not provide individually tailored investment advice. Morgan Stanley Research has been prepared without regard to the circumstances and objectives of those who receive it. Morgan Stanley recommends that investors independently evaluate particular investments and strategies, and encourages investors to seek the advice of a financial adviser. The appropriateness of an investment or strategy will depend on an investor's circumstances and objectives. The securities, instruments, or strategies discussed in Morgan Stanley Research may not be suitable for all investors, and certain investors may not be eligible to purchase or participate in some or all of them. Morgan Stanley Research is not an offer to buy or sell or the solicitation of an offer to buy or sell any security/instrument or to participate in any particular trading strategy. The value of and income from your investments may vary because of changes in interest rates, foreign exchange rates, default rates, prepayment rates, securities/instruments prices, market indexes, operational or financial conditions of companies or other factors. There may be time limitations on the exercise of options or other rights in securities/instruments transactions. Past performance is not necessarily a guide to future performance. Estimates of future performance are based on assumptions that may not be realized. If provided, and unless otherwise stated, the closing price on the cover page is that of the primary exchange for the subject company's securities/instruments.

The fixed income research analysts, strategists or economists principally responsible for the preparation of Morgan Stanley Research have received compensation based upon various factors, including quality, accuracy and value of research, firm profitability or revenues (which include fixed income trading and capital markets profitability or revenues), client feedback and competitive factors. Fixed Income Research analysts', strategists' or economists' compensation is not linked to investment banking or capital markets transactions performed by Morgan Stanley or the profitability or revenues of particular trading desks.

The "Important Regulatory Disclosures on Subject Companies" section in Morgan Stanley Research lists all companies mentioned where Morgan Stanley owns 1% or more of a class of common equity securities of the companies. For all other companies mentioned in Morgan Stanley Research, Morgan Stanley may have an investment of less than 1% in securities/instruments or derivatives of securities/instruments of companies and may trade them in ways different from those discussed in Morgan Stanley Research. Employees of Morgan Stanley not involved in the preparation of Morgan Stanley Research may have investments in securities/instruments or derivatives of securities/instruments of companies mentioned and may trade them in ways different from those discussed in Morgan Stanley Research. Derivatives may be issued by Morgan Stanley or associated persons.

With the exception of information regarding Morgan Stanley, Morgan Stanley Research is based on public information. Morgan Stanley makes every effort to use reliable, comprehensive information, but we make no representation that it is accurate or complete. We have no obligation to tell you when opinions or information in Morgan Stanley Research change apart from when we intend to discontinue equity research coverage of a subject company. Facts and views presented in Morgan Stanley Research have not been reviewed by, and may not reflect information known to, professionals in other Morgan Stanley business areas, including investment banking personnel.

Morgan Stanley Research personnel may participate in company events such as site visits and are generally prohibited from accepting payment by the company of associated expenses unless pre-approved by authorized members of Research management.

Morgan Stanley may make investment decisions that are inconsistent with the recommendations or views in this report.

To our readers based in Taiwan or trading in Taiwan securities/instruments: Information on securities/instruments that trade in Taiwan is distributed by Morgan Stanley Taiwan Limited ("MSTL"). Such information is for your reference only. The reader should independently evaluate the investment risks and is solely responsible for their investment decisions. Morgan Stanley Research may not be distributed to the public media or quoted or used by the public media without the express written consent of Morgan Stanley. Any non-customer reader within the scope of Article 7-1 of the Taiwan Stock Exchange Recommendation Regulations accessing and/or receiving Morgan Stanley Research is not permitted to provide Morgan Stanley Research to any third party (including but not limited to related parties, affiliated companies and any other third parties) or engage in any activities regarding Morgan Stanley Research which may create or give the appearance of creating a conflict of interest. Information on securities/instruments that do not trade in Taiwan is for informational purposes only and is not to be construed as a recommendation or a solicitation to trade in such securities/instruments. MSTL may not execute transactions for clients in these securities/instruments.

Certain information in Morgan Stanley Research was sourced by employees of the Shanghai Representative Office of Morgan Stanley Asia Limited for the use of Morgan Stanley Asia Limited. Morgan Stanley is not incorporated under PRC law and the research in relation to this report is conducted outside the PRC. Morgan Stanley Research does not constitute an offer to sell or the solicitation of an offer to buy any securities in the PRC. PRC investors shall have the relevant qualifications to invest in such securities and shall be responsible for obtaining all relevant approvals, licenses, verifications and/or registrations from the relevant governmental authorities themselves. Neither this report nor any part of it is intended as, or shall constitute, provision of any consultancy or advisory service of securities investment as defined under PRC law. Such information is provided for your reference only.

Morgan Stanley Research is disseminated in Brazil by Morgan Stanley C.T.V.M. S.A. located at Av. Brigadeiro Faria Lima, 3600, 6th floor, São Paulo - SP, Brazil; and is regulated by the Comissão de Valores Mobiliários; in Mexico by Morgan Stanley México, Casa de Bolsa, S.A. de C.V which is regulated by Comision Nacional Bancaria y de Valores. Paseo de los Tamarindos 90, Torre 1, Col. Bosques de las Lomas Floor 29, 05120 Mexico City; in Japan by Morgan Stanley MUFG Securities Co., Ltd. and, for Commodities related research reports only, Morgan Stanley Capital Group Japan Co., Ltd; in Hong Kong by Morgan Stanley Asia Limited (which accepts responsibility for its contents) and by Morgan Stanley Bank Asia Limited; in Singapore by Morgan Stanley Asia (Singapore) Pte. (Registration number 199206298Z) and/or Morgan Stanley Asia (Singapore) Securities Pte Ltd (Registration number 200008434H), regulated by the Monetary Authority of Singapore (which accepts legal responsibility for its contents and should be contacted with respect to any matters arising from, or in connection with, Morgan Stanley Research) and by Morgan Stanley Bank Asia Limited, Singapore Branch (Registration number T14FC0118J); in Australia to "wholesale clients" within the meaning of the Australian Corporations Act by Morgan Stanley Australia Limited A.B.N. 67 003 734 576, holder of Australian financial services license No. 233742, which accepts responsibility for its contents; in Australia to "wholesale clients" and "retail clients" within the meaning of the Australian Corporations Act by Morgan Stanley Wealth Management Australia Pty Ltd (A.B.N. 19 009 145 555, holder of Australian financial services license No. 240813, which accepts responsibility for its contents; in Korea by Morgan Stanley & Co International plc, Seoul Branch; in India by Morgan Stanley India Company Private Limited having Corporate Identification No (CIN) U22990MH1998PTC115305, regulated by the Securities and Exchange Board of India ("SEBI") and holder of licenses as a Research Analyst (SEBI Registration No. INH000001105); Stock Broker (SEBI Stock Broker Registration No. INZ000244438), Merchant Banker (SEBI Registration No. INM000011203), and depository participant with National Securities Depository Limited (SEBI Registration No. IN-DP-NSDL-567-2021) having registered office at Altimus, Level 39 & 40, Pandurang Budhkar Marg, Worli, Mumbai 400018, India; Telephone no. +91-22-61181000; Compliance Officer Details: Mr. Tejarshi Hardas, Tel. No.: +91-22-61181000 or Email: tejarshi.hardas@morganstanley.com; Grievance officer details: Mr. Tejarshi

INDUSTRY COVERAGE: China Industrials

COMPANY (TICKER)	RATING (AS OF)	PRICE* (06/05/2026)
Chelsea Wang		
China Railway Group (601390.SS)	E (05/12/2022)	Rmb4.69
China Railway Group (0390.HK)	E (08/11/2025)	HK$3.64
China State Construction Engineering (601668.SS)	U (08/11/2025)	Rmb4.72
Han's Laser (002008.SZ)	O (10/02/2025)	Rmb127.87
Hefei Meyer Optoelectronic Technology (002690.SZ)	E (09/08/2025)	Rmb15.00
iRay Technology Company Limited (688301.SS)	E (01/16/2025)	Rmb173.25
Neway Valve (Suzhou) Co., Ltd (603699.SS)	O (09/12/2025)	Rmb57.81
Shanghai BOCHU Electronic Technology (688188.SS)	O (08/22/2024)	Rmb157.13
Shenzhen Envicool Technology Co Ltd (002837.SZ)	O (08/19/2024)	Rmb65.90
Sheng Zhong		
Beijing Geekplus Technology Co., Ltd. (2590.HK)	O (08/07/2025)	HK$14.99
Centre Testing International Group (300012.SZ)	E (11/18/2024)	Rmb14.34
CRRC Corp Ltd (1766.HK)	U (01/22/2026)	HK$5.30
CRRC Corp Ltd (601766.SS)	U (01/22/2026)	Rmb5.66
DR Laser (300776.SZ)	E (12/17/2021)	Rmb170.16
Estun Automation Co Ltd (002747.SZ)	U (06/30/2022)	Rmb31.02
Haitian International Holdings Limited (1882.HK)	E (09/08/2025)	HK$20.68

Hongfa Technology Co Ltd (600885.SS)	O (05/23/2023)	Rmb33.32
Jiangsu Guomao Reducer Co Ltd (603915.SS)	U (01/08/2025)	Rmb16.43
Jiangsu Hengli Hydraulic Co.Ltd (601100.SS)	O (05/23/2023)	Rmb117.20
Jingsheng Mechanical & Electrical Co (300316.SZ)	U (01/08/2025)	Rmb48.89
Leader Harmonious Drive Systems (688017.SS)	O (01/22/2026)	Rmb393.00
Sany Heavy Industry Co., Ltd. (600031.SS)	O (01/08/2025)	Rmb18.65
Shenzhen Inovance Technology (300124.SZ)	++	Rmb75.08
Shenzhen SC New Energy Technology Corp (300724.SZ)	U (09/08/2025)	Rmb74.51
Sinotruk (Hong Kong) Limited (3808.HK)	E (05/19/2025)	HK$41.58
Suzhou Maxwell Technologies Co Ltd (300751.SZ)	U (09/15/2023)	Rmb229.51
Times Electric (3898.HK)	E (01/22/2026)	HK$39.64
WeiChai Power (2338.HK)	O (03/30/2026)	HK$37.96
WeiChai Power (000338.SZ)	O (03/30/2026)	Rmb31.12
Wuxi Autowell Technology Co Ltd (688516.SS)	U (09/08/2025)	Rmb58.34
Wuxi Lead Intelligent (300450.SZ)	O (09/08/2025)	Rmb46.98
Zhejiang Dingli Machinery Co Ltd. (603338.SS)	O (11/05/2025)	Rmb52.40
Zhejiang Hangke Technology (688006.SS)	O (09/08/2025)	Rmb31.66
Zhejiang Shuanghuan Driveline Co. Ltd. (002472.SZ)	O (08/25/2023)	Rmb42.86
Zoomlion Heavy Industry (1157.HK)	O (09/08/2025)	HK$7.70
Zoomlion Heavy Industry (000157.SZ)	O (09/08/2025)	Rmb7.52

Stock Ratings are subject to change. Please see latest research for each company.
* Historical prices are not split adjusted.